productivity sectors like agriculture to high-productivity sectors like manufacturing. What lies ahead for India? A recent **study**[6] says that LFP in agriculture is very low but it employs over half the labour force. In contrast, financial and brokerage services are the most productive sector, in the economy, but employ a tiny share of the labour force.

Labour Productivity & its Reallocation

IMF (2006) suggests that a significant portion of China's increase in TFP has come as workers migrate from low-productivity sectors like agriculture to high-productivity sectors like manufacturing. What lies ahead for India? That so many continue to be dependent on agriculture is one reason that the government has focused on improving productivity in agriculture, even while attempting to support incomes of both farmers and workers through various programmes. Agricultural productivity remains low probably because too many agricultural workers work with relatively fixed and limited amounts of productive assets i.e., land and capital (irrigation, technology, tractors, machinery, and the like). One way to increase labour productivity, therefore, is to increase investment (and thus capital per employee) across all sectors, including agriculture[7].

An equally effective way of increasing labor productivity might be to increase TFP by moving some of those dependent on low-productivity agriculture to higher-productivity jobs in industry or services. This would also allow those who remain in agriculture to farm larger, more viable plots, employing more mechanised equipment to improve labour productivity. Clearly, more investment in worker-receiving sectors will be needed to keep up the capital per employee, but the typically greater TFP in those sectors will also mean much greater output per capita. Continuing reallocation of workers out of low-productivity sectors into higher-productivity sectors is akin to increasing TFP and can therefore be a growth engine[8].

What has been the situation of **workers' reallocation in India**? By plotting sectoral shares of employment and shares of value added in the years since takeoff the following situation has been shown by the **World Bank** *(World Development Indicators, July 2012)*:

Situation in ***Agriculture*** sector –